

Assignment 2: Financial Ratio Comparison

Mergers and Acquisitions

Sector Selection

Students must select **any one sector** from the list below and perform a comparative financial analysis of the three companies mentioned under that sector.

- 1 **Technology:** Apple, Microsoft, Alphabet (Google)
- 2 **FMCG:** Hindustan Unilever, ITC, Nestlé India
- 3 **Banking:** HDFC Bank, ICICI Bank, State Bank of India
- 4 **Automobile:** Tata Motors, Maruti Suzuki, Mahindra & Mahindra

Data Sources

Financial information must be collected from publicly available sources. Students should clearly mention the source(s) used in their report.

- 1 Yahoo Finance – Income Statement, Balance Sheet, Cash Flow, Valuation Ratios
- 2 Screener.in – Financial statements and fundamental ratios (for Indian companies)
- 3 Company Annual Reports / Investor Relations websites

Analysis Requirements

Using the financial information collected, students must compare the companies based on fundamental financial ratios. Analysis should be based on ratios obtained from the data sources. Students are encouraged to use multiple sources to fetch the required data and may explore additional credible sources where necessary.

Ratio Categories to be Covered

Profitability Ratios

- 1 Gross Profit Margin
- 2 Operating Profit Margin
- 3 Net Profit Margin
- 4 Return on Equity (ROE)

Liquidity Ratios

- 1 Current Ratio
- 2 Quick Ratio
- 3 Cash Ratio

Leverage Ratios

- 1 Debt-to-Equity Ratio
- 2 Debt-to-Assets Ratio
- 3 Interest Coverage Ratio

Efficiency Ratios

- 1 Asset Turnover Ratio
- 2 Inventory Turnover Ratio
- 3 Receivables Turnover Ratio
- 4 Days Sales Outstanding (DSO)

Valuation Ratios

- 1 Price-to-Earnings (P/E) Ratio

2 Price-to-Book (P/B) Ratio

3 EV/EBITDA

Report Structure

1 Brief introduction of the selected sector

2 Overview of the three selected companies

3 Comparison of companies using ratio categories

4 Interpretation of strengths and weaknesses of each company

5 Final conclusion on which company appears most attractive from an M&A; perspective

Submission Guidelines

1 Submit a single structured report in PDF format

2 The report should be concise, well-formatted, and clearly written